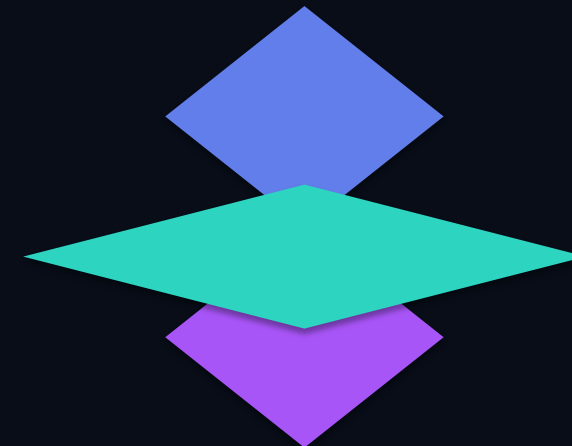


Ethereum's Supply Dynamics & Monetary Thesis

Post-Merge ETH economics for crypto-native investors evaluating ETH as a monetary asset



CURRENT SUPPLY

121,603,980 ETH

latest supply context

BASE GAS

0.1 Gwei

historic low average

ETH PRICE

\$2,243

USD spot context

STAKED

38.9M ETH

~32% of supply

Thesis frame: post-Merge issuance is structurally lower, but current low activity makes burn the binding variable.

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

CURRENT SUPPLY

121,603,980 ETH

network supply

NET CHANGE

+19,445.89 ETH

+0.83% / year

ISSUED

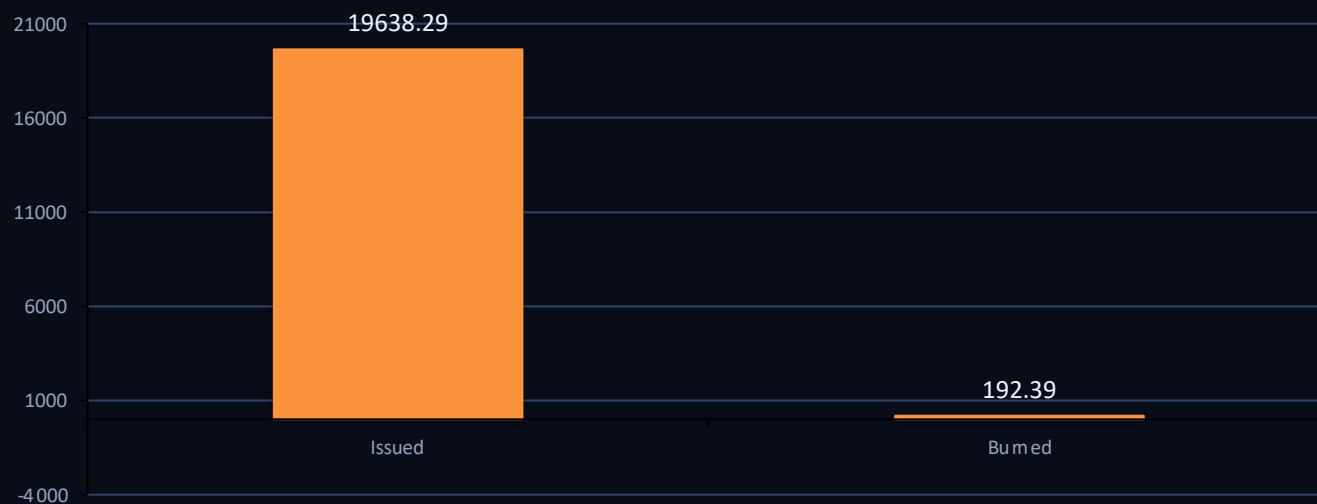
+19,638.29 ETH

validator issuance

BURNED

192.39 ETH

EIP-1559 burn



0.01x

burn / issuance offset ratio

Burns offset only ~1% of new issuance over the trailing week.

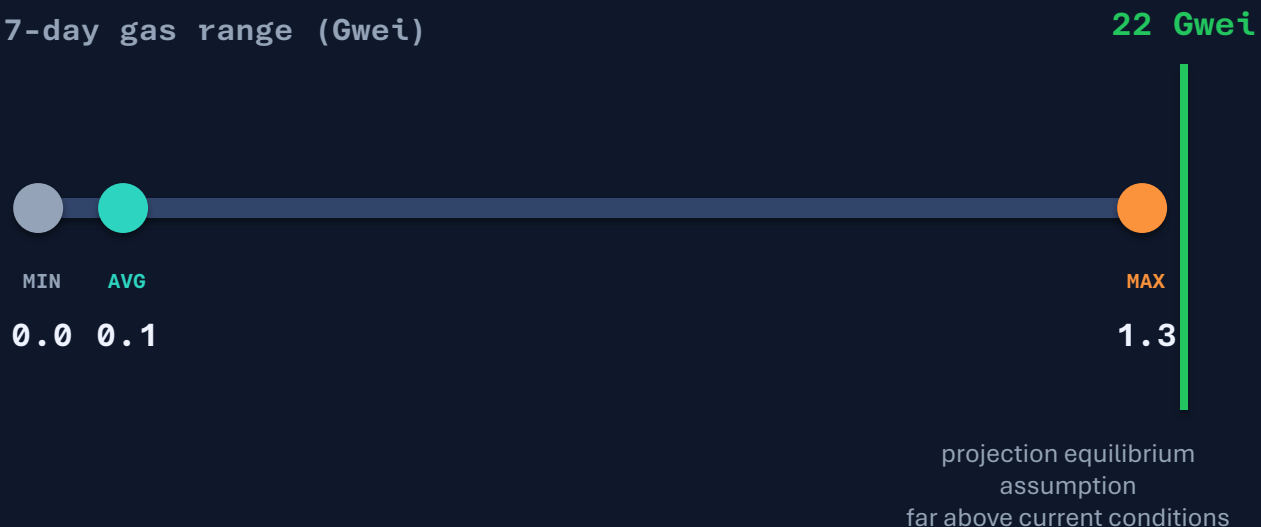
Post-Merge economics are not mechanically deflationary at any gas price.

Supply expanded because 7-day burn was negligible versus validator issuance.

The monetary premium debate turns on whether activity normalizes enough to restore burn pressure.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

7-day gas range (Gwei)



BLOB GAS AVG

7,144,934 wei

EIP-4844 data availability

BLOB FEES BURNED

0.15 ETH

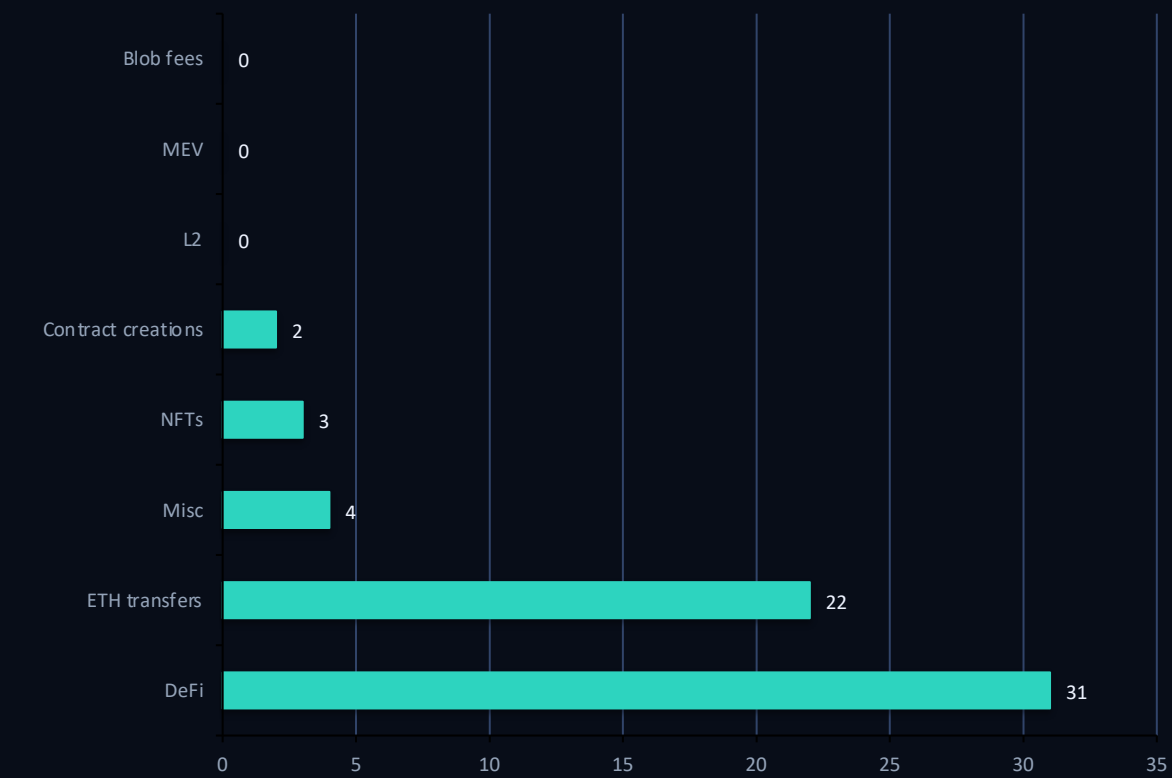
\$319 over 7 days

EIP-1559 destroys base fees; low gas directly means low burn.

Recent blocks show burns of 0.00–0.01 ETH per block; the 7-day burn record was only 0.07 ETH in one block.

Current low gas = low burn = temporary supply inflation, not a failure of the mechanism.

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn



Note: category table totals shown in the brief are a subset of the ~192 ETH weekly burn.

Top burn leaderboard entries

ETH transfers	21.74 ETH
Tether USDT	13.55 ETH
Various DeFi contracts	DeFi-led remainder
7-day record block	0.07 ETH

Interpretation

Activity concentration is healthy for signal quality, but absolute burn volume remains negligible at current gas levels.

38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

ETH STAKED

38.9M ETH

~32% of supply

SCARCITY ENGINE

9.1M ETH

locked in staking contracts

AVG LOCK SPAN

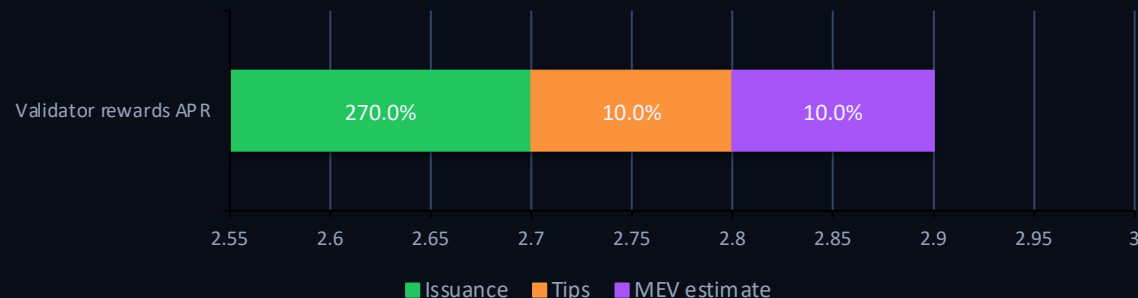
10.7 years

staking contract time span

TOTAL APR

~2.9%

validator rewards



Reward quality signal

Protocol issuance dominates validator economics: 0.9 ETH/validator at 2.7% APR.

Tips and MEV estimates contribute only 0.1% APR each in the current environment.

Staked ETH creates a meaningful supply sink while preserving monetary security.

Current conditions make ETH staking more issuance-driven than fee-driven.

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Balance



Projection parameters from brief

Equilibrium supply	125.7M ETH
Staked assumption	39M ETH
Base gas assumption	22 Gwei
PoS issuance	2.8K ETH/day
Burn assumption	2.2K ETH/day
Annual balance	1,037K ETH/year

Historical era transitions: Genesis 5 ETH/block → Byzantium 3 ETH/block → Constantinople 2 ETH/block → Phase 0 staking → London burn → Merge PoW removal

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

BTC FLIPPENING

18.70%

ETH market cap ratio

GOLD RATIO

0.89%

ETH vs gold

USD RATIO

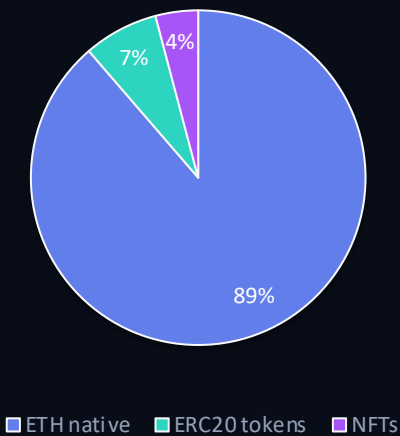
1.30%

ETH vs USD

TOTAL TVS

~\$307.6B

ETH + ERC20s + NFTs



Composition and leaders		
ETH native	\$272.76B	base monetary asset
ERC20 tokens	\$22.21B	Dai \$4.41B; SHIB \$3.51B
NFTs	\$12.66B	CryptoPunks \$2.13B
Community	6,000+	members tracking metrics

Monetary premium is early, but Ethereum already secures institutional-scale economic value.

Key Takeaways: Ultra Sound Money Thesis Intact, Gas Activity Is the Variable

1

Current headwind

ETH is mildly inflationary at +0.83%/year because avg gas is 0.1 Gwei and burns offset only ~1% of issuance.

2

Mechanism intact

EIP-1559 burn works, but requires sustained on-chain activity to matter for net supply.

3

Supply sink

38.9M ETH staked and 9.1M ETH locked create meaningful supply constraints.

4

Long-run anchor

Projected equilibrium is 125.7M ETH if 39M ETH staked and ~22 Gwei gas support issuance-burn balance.

5

Premium runway

18.7% of Bitcoin market cap and over \$307B TVS show growing but still early monetary premium.

Investor implication: conviction should track the spread between structurally lower issuance and recovering fee-burn demand.